

INTERNATIONAL news

TSMC, Bosch, Infineon, NXP partner to build chip fab in Europe

TSMC, Bosch, Infineon, and NXP are collaborating on a European Semiconductor Manufacturing Company (ESMC) GmbH joint venture in Dresden, Germany, to construct a chip fabrication facility to meet the increasing demand in the automotive and industrial sectors. The project's success is dependent on regulatory approvals and securing over 10 billion euros of public investment. TSMC will hold a 70% ownership stake in the joint venture, while Bosch, Infineon, and NXP will each hold a 10% equity stake. The planned fab aims to have a monthly production capacity of 40,000 300mm wafers using advanced semiconductor technologies. It will focus on advanced semiconductor manufacturing using TSMC's technology and is expected to generate high-tech professional jobs.

Renesas to acquire Sequans Communications to expand IoT offerings

Renesas Electronics Corporation is set to acquire cellular IoT chips and modules maker, Sequans Communications, valuing the latter at \$249 million, including net debt. Renesas will initiate a tender offer to acquire all outstanding ordinary shares and American depositary shares (ADS) of Sequans for \$3.03 per ADS in cash, resulting in Sequans becoming a privately held company. The deal is expected to close by the first quarter of 2024. Upon completion of the acquisition, Renesas plans to integrate Sequans' cellular connectivity products and IP into its core product lineup, expanding its presence in the Wide Area Network (WAN) market space.

Infineon to boost investment in Malaysia chip plant

German chipmaker Infineon is significantly increasing its investment in its Malaysia plant after it reported better-than-expected Q3 revenue growth of 13% year-on-year (YoY) at 4.09 billion euros in a semiconductor market marked by mixed trends. The company plans to invest around 3 billion euros for the full year, focusing significantly on construction at Kulim, in Malaysia, aiming to build the world's largest 200mm SiC power fab. The combined facilities in Malaysia and Villach, Austria, are expected to generate annual revenues of 7 billion euros. The company reconfirmed its revenue outlook for the year at around 16.2 billion euros, which was raised in May. Infineon's third-quarter adjusted

result was down 10% from the previous quarter at 1.067 billion euros, and the margin slightly missed expectations at 26.1%.

Intel terminates \$5.4B planned acquisition of Tower Semiconductor

Intel has cancelled its planned \$5.4 billion acquisition of Tower Semiconductor, a contract chipmaker based in Israel, citing the failure to obtain the necessary regulatory approvals. Intel initially announced the acquisition in February 2022 to bolster its presence in the semiconductor industry. China's regulatory approval for the deal was not secured within the required timeframe, potentially due to the broader technology tensions between the two countries. This move impacts Intel's efforts to expand its foundry business and highlights the challenges posed by the US-China technology battle.

TSMC to invest \$2.9 billion to expand in Taiwan

Taiwanese chipmaker, TSMC, is investing \$2.9 billion to expand its chip packaging capacity in Taiwan in response to the growing demand for AI-related products. While the company can manufacture advanced chips, it requires additional capacity to package them efficiently. The investment is expected to start yielding results by 2024, with efforts to meet customer demands. The new packaging facility will be situated in Tonglue Science Park in Taiwan and is projected to employ around 1,500 local workers.

Tenstorrent secures \$100 million funding from Hyundai, Samsung

Canadian AI chip startup, Tenstorrent, led by industry veteran Jim Keller, has secured \$100 million in funding from Hyundai Motor Group, Samsung, and other investors. This investment will help Tenstorrent develop AI chips for various applications, challenging market leader Nvidia. The funding round includes \$30 million from Hyundai, \$20 million from Kia, and \$50 million from Samsung's Catalyst Fund and other investors. The funding was structured as debt converting to stock later, with a new valuation expected after another equity fundraising round. The company previously raised \$234.5 million and had a valuation of \$1 billion. Hyundai plans to integrate Tenstorrent technology in future Hyundai, Kia, and Genesis vehicles.

Volkswagen EV deliveries rise by 48%

Volkswagen's electric vehicle (EV) deliveries increased by 48% in the first half of 2023, with EVs accounting for 7.4% of total deliver-

Indian electronics exports grow by 56%

Electronics exports from India experienced a remarkable growth of over 56% in the April-June period, reaching ₹572.2 billion, compared to ₹365.3 billion in the same period of the previous year. This surge in electronics exports has elevated the sector to become India's fourth-largest category of exports. This growth was primarily led by mobile phones, which accounted for 52% of the total electronics exports,

contributing around ₹300 billion in the first quarter of the current fiscal year. This increase is substantial compared to the 38% contribution observed a year ago. Apple's iPhone dominated exports, constituting 35% of all electronics exports and 66% of total mobile exports in the first fiscal quarter.

Foxconn to build iPhone 15 in India

Apple's upcoming iPhone 15 will be manufactured at Foxconn's Tamil

Nadu plant in India, aiming to reduce the production gap between its Indian and Chinese operations. The announcement of the new iPhone is scheduled for September 12th. The Sriperumbudur plant of Foxconn is prepared to increase the production of India-made iPhones. Apple started producing 7% of its devices in India by March, reducing the gap between iPhone 14 production in China and India. The success of increasing manufacturing in India will depend on component availabil-